

MERIDIAN AIR · ROUTE NETWORK STRATEGY

One rotation. One route.

Fly where the air is thin.

A capturability-first screen of 4,398 US to international airport pairs,
built on thirty years of USDOT traffic records.

The full working repository

Notebook, live route screen,
figures and the code behind
every number

github.com/justins-li/HDAG-Deliverable



The framing

The board funded **one rotation** and refused the biggest markets. Ranking by volume returns slot-controlled fortresses. **Size is evidence that demand is already served**, so we score capturability instead.

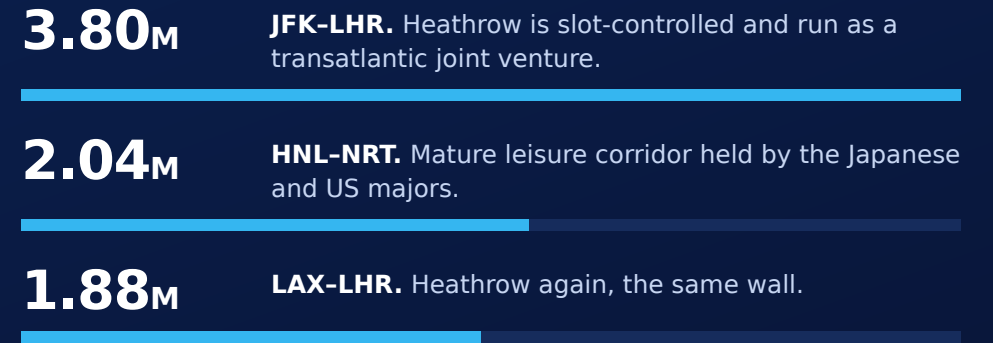
Opportunity is demand that already exists, on planes that are already full, on a route nobody owns.

- D Is the market real?**
Q4 passengers 2015–19. A single aircraft cannot create demand.
- G Is it getting bigger?**
Change against 2010–14. One rotation is a multi-year commitment.
- S Are the planes full?**
Passengers ÷ departures. Full planes absorb new seats; empty ones start fare wars.
- R Can we get in?**
1 – HHI of carrier shares. One aircraft cannot dislodge an incumbent.

Why percentiles, and why HHI

Four different units cannot be added, so each route is ranked 0 to 100 within the pool. We rank rather than standardise because traffic is heavily right-skewed. **Room uses concentration, not a count of airlines:** two carriers can be an open duopoly or a 97% fortress, and only HHI tells them apart.

WHAT RANKING BY SIZE RETURNS



Q4 passengers, 2015–19. All three sit far above our volume cut. Recommending any of them is advice the client already rejected.

The client's instruction, applied as a rule

The largest decile by volume is removed on their say-so, not because the data told us to. Keeping that cut visible separates **their** constraints from **our** findings.

Data note. The source files are not full years. Passengers cover Sep–Dec then Aug–Dec; departures Oct–Dec then Sep–Dec. Every figure uses a forced constant **October to December** window, the only one present in both files in every year. Totals are Q4 volumes, never annual.

Where Meridian stands

This is not background. The weaknesses are the reason **Strain** and **Room** carry as much weight as raw demand: an airline with no slot portfolio and no connecting passengers wins on capturability or not at all.

STRENGTHS

- Two profitable years, capital in hand
- No legacy network to defend, free to pick optimally
- One rotation is a small, reversible commitment
- No hub to protect, so no cannibalisation

OPPORTUNITIES

- Failed carriers vacate **proven** demand, not speculative demand
- Secondary gateways are unslotted and under-served
- Monopoly routes price high, which leaves margin to attack
- Point-to-point leisure needs no hub feed

WEAKNESSES

- No connecting feed. The route must work on its own traffic
- No slot portfolio at constrained airports
- No alliance, no joint venture, no corporate contracts
- Unknown brand in every foreign market

THREATS

- Incumbent adds frequency and squeezes the entrant
- A vacated gap may already have been backfilled
- Leisure markets skew thin on premium cabins and yield
- One route means zero diversification

What this rules out

Slot-controlled airports such as Heathrow and Tokyo Haneda. Hub fortresses where one carrier holds the traffic. Anything that only works with connecting passengers.

What this points toward

Second-city gateways, routes a carrier has just exited, and markets where the planes still fly full despite thin service.

From every route to five

Four cuts take every US to international airport pair down to a shortlist. Each one is a judgment call with a stated reason, and each is reversible.

4,398

All airport pairs with any Q4 traffic, 2015 to 2019.

873

Material and scheduled. At least 50,000 Q4 passengers, present in all five years, at least 80% scheduled. A rotation needs a repeating market, not charters.

785

Niche. Drop the largest 10% by volume, above 595,034 Q4 passengers. The client's instruction, applied as a rule.

605

Growing. Demand rising against 2010 to 2014.

307

Contestable. At least two carriers and HHI at or below 0.90. This is the cut that removes the hub fortresses.

5

Shortlist by Thin Air Index.

Every cut is reversible

Thresholds are logged in the notebook and reproducible from a clean kernel. The 302 contestable routes that did not reach the shortlist stay scored and rankable in the live screen, so any stage can be reopened and the thresholds moved.

THE SHORTLIST, EQUAL WEIGHTS

ROUTE	TAI	PAX/DEP	HHI	VERDICT
LAX-HND	89.1	220	0.34	Rejected, slots
JFK-MAN	87.9	235	0.28	Recommended
DEN-CUN	82.2	146	0.34	No catalyst
SEA-ICN	80.6	178	0.34	Majors entrenched
GUM-PUS	79.9	142	0.28	Growth off a small base

The index shortlists. It does not decide.

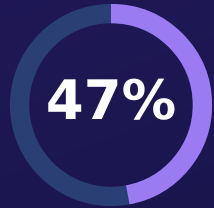
It ranks LAX-HND first. We reject it. Tokyo Haneda's US slots are allocated government to government under the bilateral treaty and held by Delta, United, American and ANA. Room measures concentration only, so three majors splitting a route evenly reads as competition when it is a closed shop. The seats are not expensive, they are legally unobtainable.

We overrode the model using knowledge the data does not contain, and labelled the override rather than retuning weights until our preferred answer won.

Only one finalist has a catalyst. The other four are healthy but static.

JFK to Manchester

Manchester is the United Kingdom's second gateway: the same national market as Heathrow, **without the slot fight Meridian cannot win.** It is also the only finalist with a dated catalyst.



of the entire route was carried by **Thomas Cook** in 2018. It collapsed in September 2019. Virgin Atlantic backfilled part of it and no more.

	Q4 PAX	DEPS	PAX/DEP
2018	82,512	240	343.8
2019	56,277	176	319.8
Shortfall	26,235	64	still full

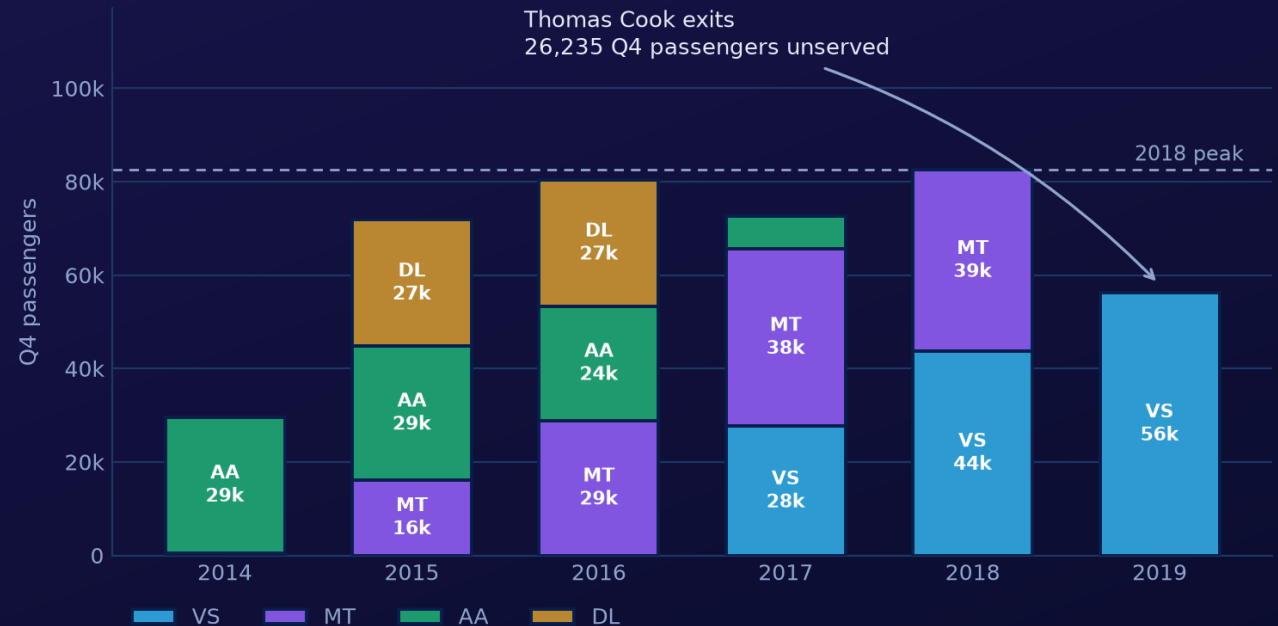
Read the last column. After losing nearly half the seats, the remaining flights still went out with 320 people aboard. **The demand did not evaporate. It went unserved.**

26,235 **0.83**

Q4 passengers of proven demand, unserved

departures per day needed to carry them

$26,235 \div 343.8 = 76$ flights over 92 days. Almost exactly one daily rotation, which is precisely what the board funded. We are not making a market. We are occupying a seat someone else left.



The weighting is the argument

JFK-MAN wins outright whenever the score reflects Meridian's real constraints. Weight raw size instead and it collapses to 24th. **That fragility is the finding, not a flaw we are hiding.**

WEIGHTED TOWARD	TOP ROUTE	JFK-MAN
Capturability (Strain + Room)	JFK-MAN	#1
Full planes (Strain)	JFK-MAN	#1
Room to enter	JFK-MAN	#1
Equal, our prior	LAX-HND	#2
Growth	LAX-HND	#2
Market size	LAX-HND	#24

Test it yourself: the live route screen

All 307 contestable routes, four draggable weights, instant re-ranking. Click any route for its carrier mix and Q4 history. Runs offline, no install.
[dashboard/index.html](#) · launched from the notebook

ASSUMPTIONS

- Q4 **ordering** approximates annual ordering. We never claim Q4 volume is annual volume.
- Passengers ÷ departures is a usable load proxy. The data has no seat counts.
- Vacated demand persists rather than permanently rerouting via LHR, DUB or AMS.

LIMITATIONS

- No summer in the data.** Manchester leans leisure, so its true demand is likely understated here.
- No revenue anywhere.** We count people, never money.
- Five-year HHI hides the present.** JFK-MAN scores 0.28 across 2015–19, but in 2019 Virgin is the only carrier. We would enter a monopoly.
- Airport pair is not a true origin and destination market.

RISKS, AND WHAT WOULD CHANGE OUR MIND

- Virgin responds.** It has the aircraft and the incentive to refill the gap.
- Yield, not volume.** A leisure gateway may not support the fares.
- The single finding that kills this:** post-2019 schedule data showing Manchester capacity restored to 2018 levels. Our data stops in December 2019, three months after the gap opened. We can watch it open. We cannot watch it close.

